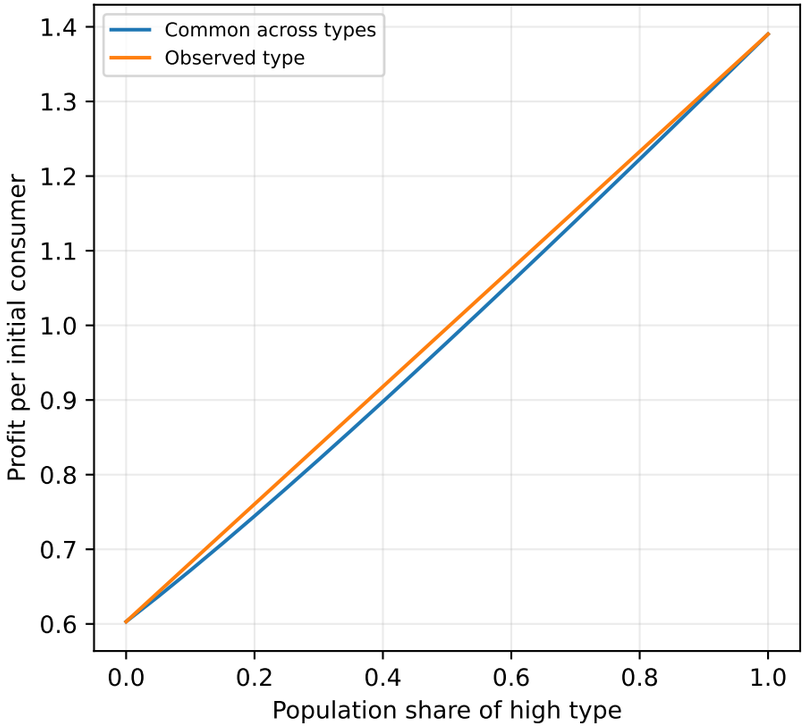
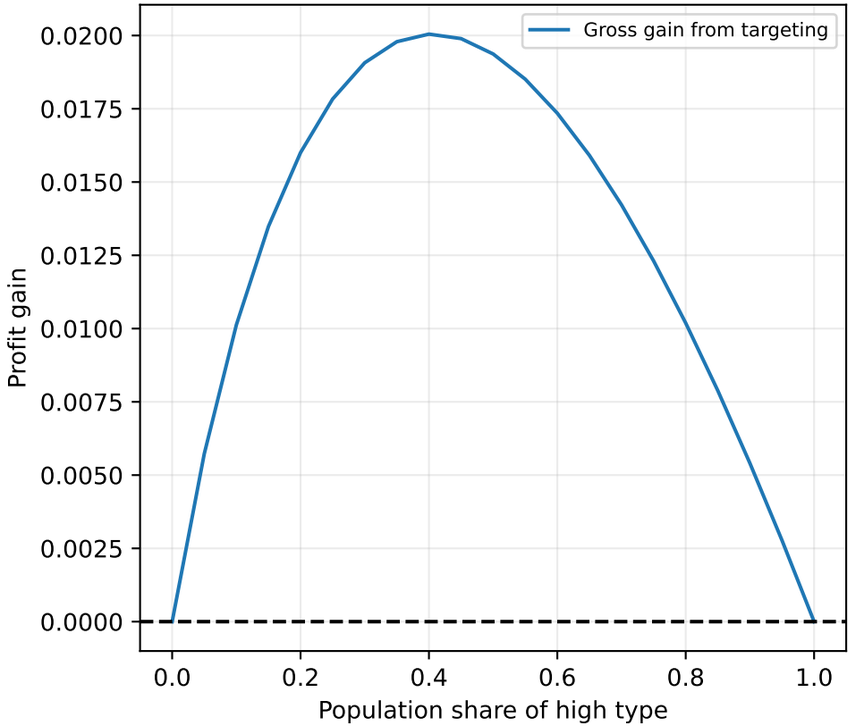
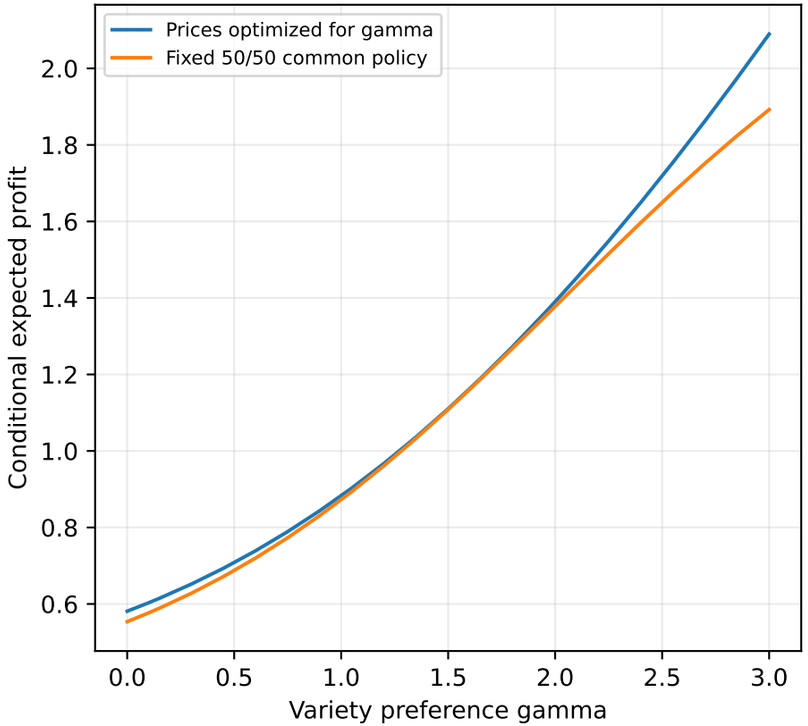

Common across types
Observed type
Profit per initial consumer
Population share of high type
1.4
1.3
1.2
1.1
1.0
0.9
0.8
0.7
0.6
0.0
0.2
0.4
0.6
0.8
1.0


Gross gain from targeting
Profit gain
Population share of high type
0.0200
0.0175
0.0150
0.0125
0.0100
0.0075
0.0050
0.0025
0.0000
0.0
0.2
0.4
0.6
0.8
1.0


Prices optimized for gamma
Fixed 50/50 common policy
Conditional expected profit
Variety preference gamma
2.0
1.8
1.6
1.4
1.2
1.0
0.8
0.6
0.0
0.5
1.0
1.5
2.0
2.5
3.0